**Lipscomb University**

**Lipscomb Online Program**

**Capstone Project**

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# An Examination of Uber Technologies: A Proposal for Increased Income Generation in the United States

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## I. Introduction

Uber Technologies incorporated is a rideshare company that has altered the way the commercial transportation industry operates with their innovative solution to allow individuals to use their own vehicles to transport passengers to their destination for a fee. While Uber has charted its own course in commercial transportation, the journey has proven to be difficult, and their course of action has set precedents which ultimately disrupted the industry as a whole. Tracey Perger, a former Yellow Cab driver and current Uber driver in Nashville, Tennessee stated, "Not only did the cab industry take a massive hit, but the reduction in cost severely diminished potential income in most markets." (T. Perger, personal communication, Jan 13, 2022). This Organizational Problem Paper will outline current issues that have resulted in tumult for both the drivers and the organization itself, analyze current market trends in medium and large sized markets, and explore solutions that can be implemented to increase profits across the board.

### Overview

This study will closely examine the mistakes that Uber Technologies has made since their introduction into the transportation industry. While they have improved their operations there have been points of contention regarding the way they addressed issues, such as their marketing techniques and driver treatment. It is necessary to further examine avenues that can increase driver satisfaction and income generation. Doing so will ensure that positive dividends continue to increase for both drivers and Uber.

**Guiding Question(s)**

Uber's initial business model hindered Uber's ability to generate sufficient income, resulting in their inability to become a profitable company to this date. What can be altered to ensure that drivers and Uber can generate higher incomes?

Market profitability relies on several factors. What are these factors? What can be done to maximize profits for both Uber and its drivers?

Misconceptions were created as a result of inaccurate claims that Uber and competing companies pushed. While this has been partially corrected, a lot of this misinformation still exists. How can this be corrected?

The treatment of drivers that utilize the Uber platform have long since been regarded as expendable, what approaches can be taken to ensure higher driver satisfaction and increase customer relations?

**Justification**

The reduction of industry standards has led to near poverty-level wages for many individuals. There are three factors that have caused this. The first factor stems from the misconceptions that were created as a result of inaccurate claims that Uber and competing companies pushed. It is also evident that a cost point analysis wasn't conducted when Uber first determined the fares, which furthered the inaccurate claims that were being produced. The final factor is that Uber classified itself as a technology company not a transportation company. This allows Uber to consider drivers independent contractors and not employees. Rosenblatt (2019) states "Uber has generated billions of dollars from the labor of its drivers without the expense of treating them as employees." While driver reclassification may not be a viable solution,

increased driver satisfaction will result in a direct increase of revenue generation. If any of these factors are left uncorrected, cases of widespread disparity within the industry will continue to grow.

In the past, Uber often made claims such as, "Sign up to drive and make $35/hr." While in the right market that is possible, this is not always the case. That misleading information led to many drivers gaining a false perception regarding what they could earn in a given market. The resulting effect was an inability for drivers to generate the money they need in order to make driving for Uber a feasible source of income.

When this is examined in conjunction with poor driver treatment, or rather, the indifference to the driver's well-being outside of an economic standpoint, it is clear that Uber needs to adjust their methodology in order to increase the number of drivers on the road, which will have a direct result on the revenue generated for both the driver and Uber.

**Purpose**

The purpose of this study is to outline the problems that Uber and its drivers are currently facing, determine solutions that can be used to correct problems within the business model and determine ways to implement them, yielding increased profits for both the driver and Uber. When there is a driver shortage in any given market this leads to higher rates. These increased fares are a result of surge pricing. Novak and Kalanick (2013) state this "system can dynamically implement more effective pricing decisions for the service based on current supply and demand conditions for the service" (p.2). There is an apex, where the surge pricing gets too high to garner ridership or where there are no available drivers to pick up passengers in a given market. Once

this point is reached, neither Uber nor its drivers are able to generate more income. Solutions and methods to implement them will be outlined within this study.

## II. Literature Review

Current research discusses how there are differences in markets that can cause drastic disparity and addresses the fact that Uber drivers can often make less than minimum wage given the conditions in a given market. However, this research fails to provide insight as to how these markets could be bolstered, generating higher incomes for drivers as well as the company. Eyert et al. (2020) states that, "map data, traffic information, and the location of other drivers are taken into account. However, other aspects possibly relevant for service delivery are, to our knowledge, not considered, such as altruistic and non-economic driver motivation or the current weather. It has to be stressed that what kinds of data are gathered is defined by Uber alone to the exclusion of both customers and drivers." (p. 35). Failure to focus on altruistic and non-economic driver motivation has been a contributing factor to the high driver turnover rate, but economic factors have played a role in this as well.

While Uber constantly promotes potential earnings on the order of $25-$35 per hour, it was found that, "driver earnings and estimate gross wages were averaging $15.57 per hour in Denver" (Henao, 2019, p. 441). While that figure is strikingly different from the figures Uber has boasted, it has been found that conditions can allow for even lower earnings. According to Zoepf (2018) results show that per hour worked, median profit from driving is $3.37/hour (p. 7). Henao (2019) determined that in some cases, "30 percent [of drivers] actually lost money driving for the 'gig economy' companies, while 74 percent of drivers made less than the minimum wage in their state" (p.443). Since these figures can vary so wildly, it is necessary to examine how the industry functions in like markets. It is apparent that attempting to compare generated income on a

national scale results in highly skewed figures. On the other hand, focusing on an individual city renders information that cannot be applied to the service as a whole.

It is also worth noting that job satisfaction directly correlates to worker retention rates. Worker retention rates have been a significant issue for Uber. Hall and Krueger (2015) stated that "more than half of those who started in the first half of 2013 remained active a year after starting." (p. 16). Retention of just more than half of their drivers is a serious pitfall that needs to be explored and corrected. While current literature examines these issues, it does not explore solutions to combat low retention rates while ensuring an increase in income generation.

**Proposed solutions and Implementation**

In order to ensure that both the driver and Uber generates a higher income there are four factors that need to be considered in a given market. Geographical layout, population density, other public transportation and the quality thereof, and the tourism industry. After these factors are considered, it is paramount to look at other areas in which driver motivation can be maintained, ensuring that there are external motivation factors that will increase driver satisfaction and will ultimately increase rider satisfaction. An increase in both driver and rider satisfaction will lead to increased ridership while ensuring that the number of drivers on the road can handle the demand. This will have a direct impact on Uber's income generation.

It was necessary to talk to current drivers to determine what changes were needed in order to increase driver retention and generate higher income. To do so, I created a survey using Forms.app which was offered to drivers in national and regional groups on the social media platform Facebook. There were 52 people who took the survey. All data collected was completely anonymous and the questions remained unbiased. This data was then examined by

extracting, transforming, and learning from the data utilizing programs such as Excel to gain insights that were not apparent upon initial inspection.

There were five factors that survey responders pointed out as proposed solutions to driver retention: increased rates, more promotions/opportunities, ability for the customer to request a driver, improved safety features, and brick and mortar offices for uber support (See fig. A). Of these five, two are economically based and three are altruistic measures that will boost driver retention rates.

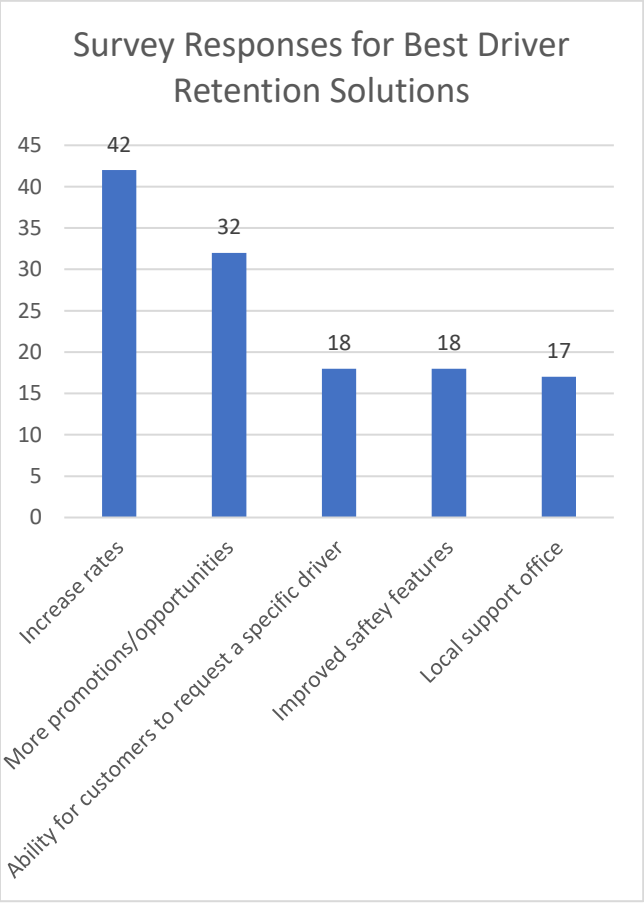



*Fig. A*

While the first two factors (increasing rates and more promotions/opportunities) may be helpful short term, the other three (the ability for the customer to request a driver, increased safety features, and brick and mortar offices for uber support) will ensure there are enough drivers on the road in the long run. When further examined, 43% of the data collected from fig. A represents altruistic support methods that can be utilized in order to increase driver retention.

## Methodology

Through surveying individuals who are independently contracted by Uber Technologies it is possible to determine factors that can be addressed that are both economically based as well as altruistic and have not been focused on thus far. After examining the current data, it was necessary to create a survey to glean insight from current drivers on a national scale. After this data was extracted from the survey and transformed in Excel several charts were produced to illustrate the information that was gained from the survey. The information that was generated allowed for further evaluation and facilitated insights that will allow for increased driver retention and higher income generation.

## Ethical Considerations

It was imperative that all actions taken were done in a manner that was objective and unbiased. All data collected has remained anonymous and uninfluenced. All data that was collected was not gathered by leading an individual to a certain conclusion. All participation in data collection was strictly voluntary. The purpose of the study was clearly stated, and participation was dependent upon their informed consent.

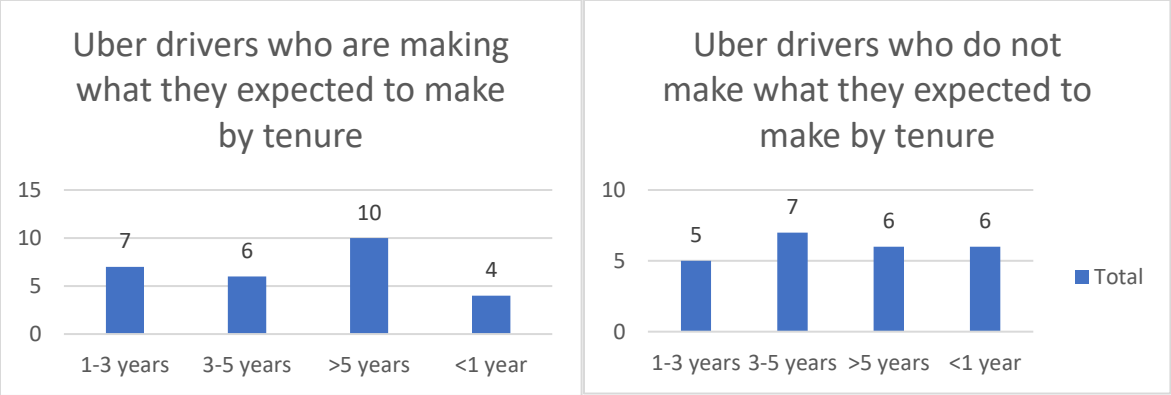
This study complies with all policies that have been put into place by Lipscomb's Institutional Review Board. This study is not intended to be published at this time, therefore making it exempt from needing to go before the Institutional Review Board because it is a "classroom exercise solely to fulfill course requirements" (Lipscomb, 2022)

## Evaluation

Upon examination of the survey results from the survey question "Does your income for Uber meet your expectations?" 53% of the people surveyed stated that they are making what

they expected to make while 47% stated that they are making less than they expected to make. Further, it doesn't appear that the length of tenure made a difference when it came to driver expectations being met. This is due to the fact that there was a period of time in which the income generation was expected to be much higher due to erroneous information pushed in advertising by Uber. In order to negate these notions, it is necessary to create a more aggressive advertisement campaign that targets drivers (new and current) in order to change the misconceptions that they have been led to believe (See fig. B).

*Fig. B*




The profitability of Uber Technologies has been on the rise (See fig. C). As you can see, the changes that Uber has already implemented have increased their profits. As Uber improves driver satisfaction their profits will continue to increase. The end result will be a net gain for both the driver and the company.

**UBER TECHNOLOGIES, INC.**
**CONSOLIDATED STATEMENTS OF COMPREHENSIVE LOSS**
**(In millions)**

| | Year Ended December 31, | | |
|---|---|---|---|
| | 2019 | 2020 | 2021 |
| Net loss including non-controlling interests | $ (8,512) | $ (6,788) | $ (570) |
| Other comprehensive income (loss), net of tax: | | | |
| Change in foreign currency translation adjustment | (3) | (350) | 57 |
| Change in unrealized gain (loss) on investments in available-for-sale securities | 4 | 2 | (46) |
| Other comprehensive income (loss), net of tax | 1 | (348) | 11 |
| Comprehensive loss including non-controlling interests | (8,511) | (7,136) | (559) |
| Less: comprehensive loss attributable to non-controlling interests | (6) | (20) | (74) |
| Comprehensive loss attributable to Uber Technologies, Inc. | $ (8,505) | $ (7,116) | $ (485) |

*The accompanying notes are an integral part of these consolidated financial statements.*

(Uber Technologies Incorporated, 2021)

*Fig. C*

## III. Recommendations, Future Considerations, and Conclusions.

### Recommendations

It is imperative that Uber increases the amount of safety features for drivers. This could be achieved by requiring passengers to use their real name in their passenger account and requiring that they upload a photo that the driver can see. In addition to this, it should be a passenger requirement to upload an image of their government issued identification into their uber app to verify their identity that will only be accessible by Uber. Such technology already exists to verify the identity of the driver thus making the implementation cost minimal.

Adding local support offices to larger local markets will also facilitate higher driver retention rates. Frequently things fall through the cracks when dealing with support virtually or over the phone. Being able to address problems within a brick-and-mortar environment with a "real" human can allow for a quicker resolution to an issue. In conjunction with quicker resolutions, adding a human touch to an otherwise technologically based service will further

satiate a driver's bond with the company. Having a personal bond with an individual that is employed with Uber is something that must not be underestimated.

It is also imperative that Uber takes the time to understand large events that are taking place in each of the medium to large sized markets. Particular attention must be paid in regard to sporting events and conventions that are going on within the market. This will allow for better driver aggregation via promotions and opportunities as these events appear to generate the highest level of rides in most markets. Ensuring that there are ample drivers and adequate access points to pick up customers is paramount to a smooth experience for both the driver and the customer.

In order to further streamline the process, allowing drivers and customers to initiate a ride utilizing QR technology when there are high volumes of requests in a given area will help to facilitate a smoother experience that can be completed in a more timely and efficient manner. The end result will be a better driver and customer experience that allows for increased income generation due to the reduced downtime in such a scenario. This technology can also be utilized to allow customers to select specific drivers.

**Future Considerations**

Autonomous vehicles will eventually become mainstream technology, while this may eventually replace physical drivers, there is no indication as to how long that will take to legitimately transfer to this technology. Until this time, it is imperative that drivers are cared for in non-economical ways as well as financial. During the interim transitional period it will be crucial to have a high level of driver retention. Implementing proper driver retention now will invariably make the transition smoother.

When autonomous vehicles are a viable alternative to contracted individuals, retaining them by allowing them to operate their own vehicles under contract will increase income generation during the transition period and far beyond. At this point, the methods in which contractors can be satiated will be dependent upon the landscape of the rideshare industry. Continual conduction of research and surveying will allow for greater contractor retention during and beyond the implementation of a fully autonomous fleet.

**Conclusions**

To further benefit both Uber and its drivers it is necessary to take a multi-faceted approach in order to optimize revenue generation. While economic factors certainly play a large role in Uber's success, in order to increase driver retention, it is necessary to implement altruistic incentives as well. Implementation of local support offices, better safety features, and the ability for customers to request a specific driver, will facilitate an increase in driver retention, resulting in increased income generation for both the driver and Uber.

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